4 AVERAGE DIRECTIONAL INDEX

An Average Directional Index is a three-line technical indicator that is used to understand the direction of the movement of the asset price and the strength of the trend. The three lines that are included in the average directional index are – ADX line, Positive Directional Index Line (+DI) and the Negative Directional Index Line (-DI). The ADX line denotes how strong the trend is and the +DI and -DI lines indicate the direction of the trend. These together form one of the most effective technical indicators.

The directional index is calculated using relatively complicated mathematical operations. We can determine the period of time for which we need the ADX to be calculated. We can play around with the time period and understand what it does to the signals and the shape of the three lines.

AVERAGE DIRECTIONAL INDEX

ADX LINE	POSITIVE DIRECTIONAL LINE	NEGATIVE DIRECTIONAL LINE

ADX always has a positive value and a value greater than 25 represents strength in the existing trend. A value of less than 25 indicates low strength in the existing price trend.

The +DI and -DI are used to understand the direction of the trend. If +DI is greater than -DI, we can say that the bullish trend exists in the market and if the –DI is greater than +DI, we say the bearish trend is prevailing in the market. Together, the three lines inform us of the prevailing market trend and its intensity.